

Objectives of BRICS

- To achieve regional development
- It acts as a bridge between developed and developing countries
- To contribute extensively to development of humanity
- To establish a more equitable and fair world
- Boost intra BRICS trade in their local currencies to increase trade cooperation and cope with the current international financial crisis
- To promote the technological information exchange among the member states
- To enhance inclusive economic growth that will lead to an increase in the creation of jobs, fight against poverty and accelerate the economic transformation of members.

The acronym BRICS was coined by Jim O'Neill, a famous British economist. He predicted that by year 2050 Brazil, Russia, India and China would become bigger than the six most industrialised nations in dollar terms and would completely change the power dynamics of the last 300 years.

The financial architecture of BRICS

The New Development Bank (NDB) is a multilateral development bank. Its primary focus is lending for infrastructure projects. It aims to contribute to development plans established nationally through projects that are socially, environmentally and economically sustainable. It gives priority to projects aimed at developing renewable energy sources.

The Contingent Reserve Arrangement (CRA) is a framework for providing protection against global liquidity pressures, which includes currency issues.

BRICS payment system

At the 2015 BRICS Summit, ministers from the BRICS nations initiated consultations for a payment system that would be an alternative to the Society for Worldwide Interbank Financial Telecommunication (SWIFT) system.

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